Active Inference BookStream #001.1 ~ "Governing Continuous Transforma

BookStream | 59:00

Hello and welcome everyone. It's January 11th, 2023. We're in Act Inf bookstream number 1.1
on Governing Continuous Transformation. Off to the facilitator.
All right. So today we are discussing part one of Governing Continuous Transformation. We're
lucky enough to have the author Bajan Kesri with us today. Hope I pronounced that right, Bajan.
Yeah. All right. Wonderful. So we are the Active Inference Institute. So we are a participatory
online institute that is communicating, learning, and practicing by an active inference. All those
links are socials. So this is recorded in a live stream, an archived live stream. So please give
us feedback so we can improve our work. All backgrounds and perspectives are welcome and
we will be doing our best to follow video etiquette for this live stream. All right. So this is
a all active inference institute activities are participatory. So if you want to get involved,
let us know. All right. So this is the 1.1 bookstream. So we've been discussing Governing Continuous
Transformation, Reframing the Strategy Governance Conversation by Bajan Kesri. So we've over the past
four live streams, we've been discussing part one of the book section by section. And it's been very
methodical unpacking the concepts. And today we were lucky enough to have Bajan with us in person,
where we're gonna be actually kind of unpacking some of those hairy concepts or questions that came up
during those previous four live streams. So if you haven't seen those previous four live streams,
definitely recommend watching those or better yet reading the book. And that will give you some
important context. All right. So let's go into it. So before we get started, let's just do some quick
intros. So I can start this off. So let's do like an intro and then quickly just say what you're excited
about today. All right. So my name is Tyler. I'm a I work in Dow Governance and Protocol Design. In a previous
life, I also was a strategy consultant at large corporations. So organizational change is something
I'm very personally passionate about. And I'm really excited to kind of dive into some of these
thornier questions that came up over the previous four live streams. I'm very happy to have Bajan
with us here today. I'll pass it off to Blue. Hi, I'm Blue Knight. I am an independent research
consultant in New Mexico. My background is largely neuroscience, but I am a founding member
and on the board of directors here at the Active Inference Institute. So I'm very excited to kind of
get the perspective of free energy governance. Like we are the Active Inference Institute. We should be
using free energy governance in the way that we kind of drive our institute forward and our with our
board and our governance methods. So I'm excited to just be studying this concept and learning how to
best apply it to my work here at the Institute. And I'll pass it off to Daniel.
Hey, I'm Daniel. I'm a researcher in California, looking forward to the conversation today,
to continuing to develop our relationship with the work and just to check in periodically as the niche
continues to develop so rapidly, which is a focus of free energy governance. So Bajan, to you.
Okay, so I should address the very same questions. Well, obviously, you know, in life, everything is

very past dependent. So I happen to actually a very young age go on the board of directors
of public companies. And as a result of it, I was always fascinated, actually, how companies are being
governed. And I was many times also astonished about the fact how disconnected the very top of the company
company where all the decision power resides is disconnected, actually, from the
from the frontline of the of the company. I do recall, actually, one of the boards I have joined in 2019,
very exciting company, Zylke. It's a difficult name to pronounce, but it's a global leader in innovation
services, we do really fascinating projects around the world. And when I introduced myself, I said,
this really, all the intelligence in a firm is really at the bottom, it's not at the top. So that
was obviously very surprising for board members to listen to, because there's a very self understanding
of board members is that they are the smartest guys in the room, and that they obviously are entrusted
by the stakeholders with allocating all the resources. So I'm really excited about how the role of the
board has to change in a world, which is and has become increasingly discontinuous, very distributed,
where a bunch of very smart guys meeting up four to eight times a year, to take all the key decisions
in the company. It's not, in my view, a recipe for sustainable success. And that has obviously led to
the fact that many times, CEOs become very, very powerful. And the board is there to guide to advise,
to approve, and to make sure kind of things are more or less in order. But I think, like with everything,
with every person was every process, it's a little bit like flipping the coin. I mean, as much as certain
things or certain people explain success, they eventually also explain failure. And the idea,
really behind the free energy governance concept, and inspired obviously, by Carl Fristen's free energy
principle, is when you look at biology, you look at nature, you start understanding, there's a lot of
self-organizing mechanisms, which determine the survival of an organism. And my idea, and the
the drive behind free energy governance, is really, we should be revisiting a number of self-organizing
principles, to make the company actually much more resilient in discontinuous and distributed market
environments.
I'm just looking at the questions, the other questions. I mean, that's certainly something I'm
excited about. That's in a nutshell, really, what has been inspiring, from my background, and from,
from a theoretical point of view, the free energy governance concept. And I do think,
and that's why I'm looking really forward to the session, and I really appreciate the diligence with
which you have prepared it, and the questions, that when I talk about the free energy governance concept,
people get it, because there's really three simple dimensions. There is a structural dimension,
which very strongly inspired from neurosciences, but how do we connect actually our prefrontal cortex with
the nervous system? And how is it an interactive, top down, bottom up connectivity, which has to work?
And you can transpose this onto organizations, and you can very quickly see this tremendous friction in
an organization. Because the bottom and the top don't really interact and connect the way our nervous
system and our brain does. The second dimension is a dimension I call cognition. But what it really means is,
rather than teaching adaptation, which is really the dominant school at MBA programs, we should be
analyzing the environment and then adapt accordingly. I say the world and strategy is not environment

driven, but it's

interpretation driven. So when you take a more interpretation driven approach, you are much more in power to create

actually your own. I don't like the word reality, because that's a very relative concept, but you create

your own eco niche. In the eco niche, you really want to compete in. So I do believe we are much more in power than we resist to believe.

And the third dimension is related to capabilities and capabilities.

Capabilities is a big topic in management science, obviously. Capabilities at the board level haven't been really addressed.

And my work on the free energy governance side is trying to develop capabilities at the board level and certain

meta capabilities. And that really leads into the topic when we say in the distributed and discontinuous world,

how does the board has to evolve in order to be meaningful, it's either going to be completely irrelevant,

it could be potentially a source of inertia, or it can allow the company to prosper and to

outperform its its competitors. I guess for this slide.

I wouldn't say much more.

Awesome. There's a lot to dig into there. And so we'll get to some of those bigger topics in a second

here. All right. So this is where we're at in the book. We've been reading part one up to now,

which is a lot about framing the conversation about what free energy governance is and the free energy

principle. And right now we're at the conclusion. So we'll read the abstract for that in a second here.

All right. So the roadmap for today today is a discussion around these seven questions.

In the beginning of the discussion, we'll be talking more about like, really, how do you

communicate what free energy governance is? And then later in the discussion will be really more

getting into some of the nitty gritty questions about maybe some of the implementation of what free

energy governance can look like. And we'll keep it free flowing today. I mean, we'll try to get

all these questions. If we get off on a tangent, that's actually totally fine. And we can just

kind of take the conversation where it goes. Very good. Please. Oh, sorry. Well, we'll just we'll

start off by reading the the abstract and then we'll kind of get into the discussion. But is there

something that you want to say before we move on? No, no, no, no, no. I follow you. Okay, great. So

Blue, do you want to read the slide for us? Sure. Is that all that's on the slide? No, there's one more.

Okay. Strategic renewal research is now confronted with important challenges concerning process design,

cognition and dynamic capabilities. Sensing and sense making of relevant signals as a basis for

initiating strategic renewal are preceded by an action centric and explorative engagement with the

world. We are moving from co aligning organization with environment in form of adaptation to co creation

as firms build agility through distinctive environmental enactment. All existing frameworks

and studies in corporate governance, as well as strategic cognition, remain characterized by one or

a combination of the following fundamental limitations. Cool. I can take the slide. So

one, the environment environmental change are generally treated as objective reality. Two,

strategic renewals treated as a top down content rather than top down bottom up process challenge.
Strategic renewal is studied at the managerial level, but only marginally at the board level.
Formal processes are the focal unit of analysis and five demographic and universally measurable variables dominate with no due consideration for strategy relevant medical capabilities at the board level. Green energy governance introduces a novel cross hierarchical generative inference centric framework empowering the firm as a generative model of its ecosystem. Shareholders and board directors must interpret the board's strategic relevance and discontinuous world. If not, the board is prone to turn into or remain a source of inertia compromising firm performance and survival. All right, let's get into it.
So, first question here is just, you know, free energy governance as we've been going through this last, you know, four live streams. It can get very deep, right? There's like a thermodynamic angle to it. There's an information theory angle.
There's a machine learning angle, right? So you can go down the rabbit hole and you can go very far.
But at the end of the day too, like there's a very intuitive way you can think about free energy governance.
And so I'm curious when you meet executives, other business leaders, and you have to communicate what free energy governance and free energy principle are, how do you succinctly communicate that?
And communicate, hey, this is different from what you're already doing.
When you look at
what has been happening in the last 20, 30 years, we see that technology is not only building incredible connections,
but we also do see that the cost of innovation is coming quite dramatically down.
If you take a startup in Silicon Valley in the 1990s to build something that say, which would take a million dollars at the time,
you can probably do it today with $10,000 the same thing.
So the power of the individual in creating new stuff, changing the way we consume product wise,
and the power of the world has increased dramatically.
As a result of it, this continuity has been rising dramatically.
Apart from that, the world has obviously also, again, thanks to technology, become quite connected and integrated.
Now, when you look at all that stuff, what technology is doing, what individuals are doing,
they don't even need to be incorporated.
It's creating a lot of change in the resource market.
And the resource market is really, I don't like, actually, I do not like the term top and bottom.
Probably the bottom certainly is much more frontline.
The top, yes, usually the top is the board, because these are the last guys, the ultimate people taking actually the resource allocation decision on big topics, which concern the entire firm.
But when you look at all the stuff that is happening right now in product markets, in supply chains, in universities,
where there is great thinking, there's not only great ideas, there's new products coming out.
And you start looking at the guys who are sitting in the board of a big company.

They are so far removed from really being connected to what can happen now.
And that's very natural because there's only as much attention we have, as much cognitive bandwidth
we have, and how much can they process?
The bigger problem, however, is, and I would say to your first question, what's the hook is,
is every board member, every CEO would love, and they, there's a wonderful concept, which is called skilled incompetence.
And skilled incompetence really means people are doing actions which are counterproductive to what they really want to achieve.
And C-level board members are really keen on understanding what's happening in all these markets.
And catching up on all the impulses, inspiration, in order to think about where should our organization be going.
But inadvertently, they're creating a lot of friction, and they're bringing themselves far more removed.
So the big challenge, and this is really what free energy governance is addressing,
how can we connect the top at the bottom in a much more efficient way.
And that has a lot of challenges because you have middle management, how is information traveling.
But a much more interesting thing is, which is happening right now, is when you look at artificial intelligence,
artificial intelligence effectively allows you to decouple two things which usually came as a unity.
It is the prediction and the judgment which together form a decision.
So when you look at the anatomy of a decision consisting of prediction and of judgment,
with the increasing deployment of artificial intelligence, that is being actually decoupled.
Now, what that means is that the value of human judgment becomes much more important.
But then the question does arise, who is best positioned to make the judgment?
Is it really the C-level? Is it at the very top?
Once I have all the AI prediction available, and I can generate great predictions as an input
into my decision making and subjected to judgment. So all of a sudden, you have to very carefully think
what should be and continue to be decided at the very top, and what should be not reach the top any
longer, because it's taking too long, it's creating too much friction. And maybe the board of directors
in the C-level are no longer best positioned to decide on many things they're deciding on today.
So I think what we will be seeing in the next decade to come, and it's partly driven by technology,
but in particularly driven by AI technologies, that there's going to be a shift in power,
where and how decisions are going to be taken. And we will look at organizations, the way they are run
today, the way they're structured today, they look like a dinosaur, because they are not really
connected to what is happening really in the marketplace in real time. So the C-level is facing
a big challenge of a how they're connecting to the bottom and how the information is flowing as a basis
for them to take great decisions. Second, decision power is probably becoming within an organization also
more distributed. So it's not going to be as centralized as it used to be. And
the more important thing is, and this is very fundamental to free energy governance,
is communication. When you look into companies today, and even companies where I'm on the board of,

the more important things that you're going to be able to do, it's frightening to see how communication is a real problem. Everybody has the best intentions to be clear, to be transparent. But communicating is many times also a question of language. And if we do believe that in the future, the interface between the machine and the human is going to be increasingly important, we need to develop a language which allows us to much better connect to the machine. And that's where I believe the free energy governance framework, which is built on the free energy principle, which is all about prediction error minimization. When you start putting actually prediction and prediction models at the center of what it is about to run an organization, take the active inference Institute, what is your prediction model, you do have a prediction model, which is actually your world model. And on a daily basis, you are generating predictions about what you think should happen, what is likely to happen, what interests the audience, these are all predictions you're you're you're generating. And eventually, this team, you guys, are applying your best judgment of what you're doing. Many times you're testing the predictions and the predictions may actually give you feedback, which tell you, you shouldn't be doing this. So eventually, your judgment will really matter. But what you do when you start adopting a language of prediction error minimization, I believe you become much more performing, because what you start doing in a much more conscious way, you start measuring the performance of your individual predictions, which eventually feed your decisions on the basis of your very judgment. And over time, your judgment improves as well, because your testing and your measuring of performance of predictions is getting better. And when you do this, and in my book, in a later part of the book, when I've been trying to relay a very theoretical concept more to the world of practice, I've been looking at the budgeting process, the budgeting process is a great domain, where you have to make a projection, a prediction about next year. And you make this prediction on facing actually two fundamental questions, what is you control what you don't control, what is what you know, and what you don't know. So there's a lot of unknowns you have to deal with. And when I'm looking at a budgeting process, I'm dealing with a lot of unknowns, what is really critical for me is not the number people put behind that unknown, but it's the process they suggest of how they turn the unknown into a known. And it always starts with very small steps. So I think organizations need to start communicating much more in terms of prediction models, of prediction models, in predictions, falsifying those confirming those. And when you start articulating the strategy, or a vision, you have as a prediction model, and that there are predictions generated by that prediction model, and you empower the company, the organization through great and clear communication, to challenge your predictions, you're creating a very different culture of how you engage the frontline with the key decision makers, who at the end of the day, of course, there's always a small number of people who are accountable for managing and allocating the resources of a firm.

So I think that's a

critical hook, because a lot of you know, a lot of C level people and board members talk about uncertainty. But he is a

really critical thing. First of all, uncertainty is a very subjective concept, what your uncertainty is may not be mine, or vice

versa. So in my view, when somebody says the world is uncertain or unpredictable,

I mean, we all agree, there is a lot of things we don't know what's going to happen tomorrow. So in that

regard, there's many, many worlds that could appear in that regard. Yes, there is some degree of

unpredictability. But if I talk about uncertainty, of course, there is uncertainty. But at the end, using uncertainty and

unpredictability is really just an admission of the very limitations of my world model. Because uncertainty

is an incredibly rich training ground for my predictions to eliminate and reduce uncertainty and

and turn unknowns into unknowns. And when you look at organizations, and I think sometimes most of the time, C level and board

level, are not aware of the fact if the further you go down in the organization to the frontline, they have much more

intelligence and understand much better how rules are creating the source of inertia, and actually masking and burying

uncertainty and don't make it available for prediction testing, and ultimately better decision making. So our

challenge in today's world with a lot of discontinuity, a lot of change happening, for very understandable reasons,

because the individual has more power, we have cheaper technologies available to create much more impact.

We need to embrace uncertainty, we should not avoid uncertainty. And today, the organizational frameworks are not in place to allow organizations to embrace uncertainty, because they don't know how to talk in prediction and prediction models, and test those predictions. I'm sorry, blue.

Sorry, I thought you were wrapping up. I just wanted to just ask a quick follow-up question.

Can you clarify what you mean by discontinuity or discontinuous? I mean, I think I have an idea, but I would just like to maybe have a more clear.

You know, I try to avoid the word disruptive. But when you look at, and you look in management science, Clayton Christian's disruptive technology, which is not necessarily radical technology, it's technologies that

can change, that can change, for example, a cost factor, and the cost factor is so decisive, that all of a sudden, it changes the way business is being done.

And what is being deployed, and whether you're still shipping something or you're not shipping something or whether it's, it's, I mean, you could argue, to some degree, let's put the particular context of the pandemic aside.

But a valid question is the way Teams and Zoom have become so much part of our day-to-day engagement.

I have been someone who has always preferred the physical touchpoint.

And in my own company, I have offices in different parts.

And my approach has always been, I'm going to be physically present in those offices at least once a month as I tour them.

I've changed this radically, the pandemic is over.

So I definitely don't buy as many flight tickets any longer.

And this is, it's not a strong example.

But I do think that a lot of airlines struggle with the fact that business travelers are not there the way they're there.

There may be more recreational travelers, and the planes continue to be packed, but there's less planes.

We shouldn't forget that either.

So has video calling and created actually some discontinuity on a massive scale that can disrupt industries.

So you do have these kind of discontinuities.

They don't need to be radical innovations, but they change on a massive scale the way things are being done.

And there's obviously a lot of examples that happen all the time that happen sometimes, which are beyond our, what we can see.

But there's a lot of stuff which is happening behind the scenes where things are so radically changed that companies are from one day to the next out of business.

And I guess that's what I mean with discontinuity more in view of disruption, but I don't like the term of disruption.

That makes sense.

And Bajai, I think just to, I don't know if you had more you want to give on this elevator pitch, but I think to kind of summarize what I think you're saying or the essence of my takeaway is you're really putting uncertainty at the heart of the organization rather than something that is to be worried about, to be anxious about.

You're really saying, Hey, this is an intrinsic part of being an organization, having a world model.

There's nothing we can do about uncertainty, but we can manage it.

And we can, we can do that by making prediction error as really the heart of how our organization thinks about its business.

Absolutely.

Absolutely.

And this comes back to the active inference Institute, because the most, most important word in active inference is active.

Because you put action at the center of what you do.

And it's the actions that create your perceptions and not the other way around.

And that's a fundamental thing.

And you go into the sea level, they still do believe that they perceive and then they act.

And that's terrible because then you are really a victim of whatever's happening outside your control.

And the power of the free energy governance framework and obviously the free energy principle is that you get actually into control.

And the way you work yourself through to reduce the unknowns.

And you can only do this through the actions.

And there was one question you had on the, on the first slide, which I think was question number six.

We don't have to go back there, but I, it was related to Silicon Valley.

And when you look at the smaller company is, when you take a startup business, a startup business usually does not have the challenge of, of top down, bottom up, because there's three guys sitting in a room.

And they were many, many heads at the same time.

All they do share is one purpose, one mission, and one big dream.

And, and, and, and as a result of it, almost in a self organizing way, all the right actions will fall into place because the goal is so clear of what they want to achieve.

The problems start when the team starts growing, when things are being delegated, when all of a sudden communication becomes important, when all of a sudden there is a distance between where the action is happening in the field.

And the person making the decisions about how financing is being raised, how it's being allocated and what story is being told.

So when you look at the very mature companies in Silicon Valley and those who have been successful and have kind of shaped a big part of our life in the last 10, 20 years.

And the reason why is that, you look at the first 10, 20 years ago, is because these companies stayed actually very true to their core.

And you can look at that.

They fulfill all three dimensions of the free energy governance framework.

They make sure the way they organize that a lot of decision power is actually at the bottom.

They are not big fans of pulling all the power to the top.

They want to make sure that individual entities can work, operate, decide and be very agile and very fast.

So that's already the first element, the structural element, how you connect the top and the bottom.

Second element is the cognition part.

Neither Google, nor Uber, nor Facebook, any of these companies are doing market research when they really started with what they want to do as business to figure out is there a market or whatever.

They create something which they enact driven by a deep passion, many times a deep passion of believing this is how the world should work.

We will adapt the world to us.

It's not us adapting to the world.

And that is what makes these companies incredibly strong because they're creating their own eco niches.

When you look at the iPhone coming out in 2007, everybody was mocking it.

BlackBerry, which some of you may not know even at the time, but was the dominant communication device because it had a great keyboard and all of this.

To have a phone without a keyboard was every disadvantage.

Low battery, low battery, which was literally putting everything together, but everything was really suboptimal.

One didn't give it much chance.

But what effectively at the time Steve Jobs is the visionary or representative of that vision for a whole team articulated was the phone will be a computer.

And it will be a computer that can actually do anything and you have it in your pocket.

And that was a tremendous vision.

And Nokia didn't have that vision and they focused on the prime functionalities.

So I think what these companies do is, and that's the second dimension of the free energy governance framework.

They really enact their own environments.

And the third one, which is related to capabilities in the free energy framework is, and I have related to this in the free energy governance framework in my book.

I try to be very specific, but the capabilities part I focus on is how, and I'm always focusing capabilities on the board level.

And on the board level, I look at how you manage duality.

And in business, there is two sets of dualities, which explain everything.

These are the two fundamental sets and only those two sets.

The one is, how do you manage simultaneously exploitation and exploration?

You have to manage your existing business and optimize it and take that cash flow, which is available.

And you have to work on the future cash flow, which doesn't exist yet.

You don't have the products yet.

And you have to find a way, which is very challenging.

Lots of books have been written about it, of how you manage these two things in parallel.

In the meantime, my view is these things happen actually almost at once on top of each other, rather than being two separate organizations.

But there's many different views, also depending on the maturity of the company, the lifecycle of the company, what is a better approach?

That's the first set.

So first set between exploitation of today's cash flow and developing through exploration tomorrow's cash flow.

The second set is a very important one, is the tradeoff or the duality between financial control and strategic control.

Financial control in this context means M&A, how you buy other companies, which you're not doing in-house to accelerate and to move forward.

Strategic control is really in-house innovation.

So a company and a board is continuously challenged.

Is there a sustainable balance between in-house innovation and external innovation?

Or M&A doesn't always have to be about innovation, could be market share or geographic expansion.

But what is really important to understand, when a company relies too much on financial control, M&A, its survival gets really threatened.

Because the more companies you buy, the more over a period of time, your in-house capability to innovate will weaken.

And effectively, you're losing your strategic control.

Now, coming back to the Silicon Valley companies, what they have done tremendously successful, whether it's a Meta, Facebook, Google, they have been continuously investing.

They have been the biggest investor as a percentage share of their revenues.

They have invested in R&D.

But at the same time, they buy a company every month.

So they keep this balance in an incredible way.

And that is, in my view, a tremendous capability for a company to keep that balance.

Don't allow it going one way, but keep that balance.

So when you look at the free energy governance framework, looking at really Silicon Valley as a startup, the question doesn't even arise because everybody's sitting in one room.

Now you take this massive company.

Some of them are the biggest companies in the world, like Apple and so on.

They have mastered it, in my view, by not being obsessed of how the top has to control everything.

Understanding that we are much more powerful as an organization if the unknowns are being turned into knowns and that those who are capable of doing it are empowered.

And they're usually much closer to the resource market, suppliers, technologies, clients, in order to do so.

So I do think in those companies, you find many facets of it, which make it very successful.

And I'm very convinced that they are also the next companies who are embracing artificial intelligence as a way of changing, again, how organizations are structured, how they take decisions, and how the power may be shifting.

And that's one of the things that you're doing.

But, and that was one of the questions you asked me, which is on the slide, is why being so obsessed with the board?

Actually, I'm not obsessed with the board as such, but the reality is that the board, depending on, you know, the role of the board varies many times from countries, from jurisdictions, culture, you know, what role they play.

But when you look at a typical board, the CEO, maybe on the board in the US, the CEO usually is on the board, the CEO is actually usually also the chairman.

In the rest of the world, they strictly separate these two roles, CEO and chairman.

But you will have the majority of the board members being non-executives.

And these non-executives have no role in the day-to-day operation of the business, but they come and they leverage the expertise from different industries.

And overall, their experience, they have accumulated over usually a longer career.

And the board, because it is not executive, is in my view, uniquely positioned not to get involved in the content dimensions of the business.

The board can't tell you, you should be buying this, you should be doing this.

What the board should be doing is to ensure that we have a process that allows for free energy governance to come to life.

Bottom and top properly connected, articulating prediction models, having the right language, articulating predictions and empowering the rest of the organization to challenge those predictions.

And the third one is where the board has to self-evaluate.

Are we really keeping a good balance between strategic control and financial control?

And these are a role which, in my view, cannot be delegated to the CEO and needs to come actually from a meta organ, which literally the board is to ensure those processes and just make sure that they are in place and that they stay alive.

Got it.

That makes sense.

So if I understand you correctly, it's not to say that a board is like intrinsically a part of free energy governance, but like we have inherited these legal structures where oftentimes for nonprofits and C corps, you need to have a board.

So you might as well put it to good use.

And a nice attribute of a board is that it's separate from the rest of the organization.

And that means can play this kind of unique and special role in free energy governance.

Does that characterize what you're saying correctly?

Absolutely.

And if you look at the DAO, I mean, effectively, it's a software and it's a contracting, I mean, a smart contracting in a certain way.

So what you should be doing, you should be, because in the DAO, the governance dimension is not about content.

I mean, it's not about saying, you know, you should be going left, you should be going right.

The real question is, are you following the right process when certain things should happen or they shouldn't happen?

And that, in my view, is for a board should be the guardian of institutionalizing and of keeping alive self-organizing mechanisms, as I describe them with the free energy governance framework.

And I think in a DAO, you may actually write this into the software, the way those things, it's the language, the communication, the way actually what information can actually take decisions and has the right judgment.

That makes sense.

I'm actually curious.

This might be a hard question.

I think part of the reason it's hard is very contextually dependent.

But I'm wondering if you could have your pick up like a different governance structure, right?

Maybe it's not the board, but something else that would be more fine tuned and appropriate for free energy governance.

And like you can have any legal structure you wanted.

Are there things that you would change about the board?

Or maybe it's like just did not the board at all.

It's a different kind of entity that you would think would be more appropriate for free energy governance.

You know, I do, I do think that the power of the board, and if you think about it, it's funny, historically, it was never one person on board.

It's always like two people, three people.

So I do think the idea of having a small group of people coming together that are not involved in the day to day business as a management team to deliberate and think about very key decisions about which concern the whole firm is in my view, irreplaceable.

And I really do believe in this.

Now, what we do see, however, is that some boards are completely irrelevant.

Some boards are source of inertia.

And we, a lot of the corporate governance literature is about how do you make the board really effective, then it comes into diversity discussions and all of this.

I don't think that is really the key.

I think that it really comes down to, I'm not a big fan of the, of the diversity in terms of stereotypical diversity, you know, to say, oh, we should have, you know, for example, the Nordic countries in Europe have made it the law that a certain number of board members need to be female.

And right now, it's really crazy because they don't find enough women.

So, so, so who are prepared to go on the board even and who are qualified to go on the board.

And it's a, it's a, it's a, it's a, it's a, I think that is the wrong way.

I think what you want is you want to constantly self-evaluate as a board to ensure that you have the right expertise, the right qualities on the board to steer the company through its next challenges.

I see.

So instead of like a top-down mandated version of like, Hey, this is the kind of diversity you have, that should actually be an internalized process where you would internally be saying like, Hey, actually we don't have representation from these groups.

That's actually probably hampering our decision-making processes in these ways.

Let's intentionally create diversity to create new cognitive capabilities on our board.

Does that capture that right?

I would put, yeah, I would put the emphasis on the cognitive, uh, uh, dimensions.

Having said this, see, I'm on the board of a company in Switzerland, which is quite big, has many thousands of employees is involved around the globe.

Okay.

And I'm always embarrassed when I look at the website and you have four male whites guys on the board.

And this is a company which is globally active.

We have a very important part of women in our workforce.

Uh, uh, and I don't think the board represents it.

So I do think the board has to represent in some way also the world you represent as a business.

And, uh, I, I think that board needs to change in terms of diversity, but the diversity shouldn't be just changed for the sake of diversity.

It should bring in, as you rightly said, the cognitive diversity, uh, at the same time.

But we all know sometimes, and that's, I guess that's what the lawmakers, uh, uh, imply, uh, the cognitive diversity is many times related to the stereotypical diversity.

Um, and let's say, but anything else to add to this, I do want to kind of switch gears a little bit, cause we have about 10 minutes left.

And so something you're talking about too, is like you're envisioning a very different version of what a board looks like.

And get to the right slide.

So both for like implementing free energy governance from the perspective of being inside a board, but then also within the entire organization, like it's a very different way that especially a board needs to operate.

And I know that you're on the board of several companies.

You're also a leader of several companies as well.

I'm kind of curious how you think about the resistance that you've encountered in implementing free energy governance, both within the board and outside of the board as well.

And so for example, like I've had personal experience with this as well, not necessarily implementing free energy governance, but also implementing things that are less hierarchical, more of a collective sense-making process where we're not top down deciding the strategy, but we're more collectively through a sense-making process, understand, you know, finding what that purpose is.

And I've often found that can be very disorienting for folks and a lot of fear and uncertainty arises during that process.

And a lot of resistance comes during that process as well.

I would imagine that you would encounter similar things implementing free energy governance, both within the board and then within the larger organization.

So I'm kind of curious about types of resistance that you found and how you've kind of overcome that resistance in your own organizations.

Yeah, good. Very good question.

I mean, effectively, it's a question or this whole topic touches upon, let's be very precise.

How do you make actually free energy governance work in an organization?

Give me some very precise tools.

If I was interested now in bridging the bottom and the top and doing all these things, what should I do?

Give me a plan.

Give me some inspiration what other companies have been doing.

That's what I'm looking at putting together now through a research project I'm undertaking to look at companies.

They may not call it free energy governance, but they're dealing precisely with those issues and what they have been doing.

So my answer will be twofold.

I'm going to answer first of all, with your question, and then come actually to what should be done, because the two are kind of related in a certain way.

The resistance I see in boards is when you look at a board of directors.

It's a really very strange group of people because most of the time, the recruitment of those people is coming through connections.

I mean, of course, many times you do have a headhunter saying like, we need a board member.

Can you find us somebody interesting and somebody comes and that happens?

I'm sure. I don't know what the percentage is, but a fair share of board positions are being done this way.

But then most of the time, the board members obviously know a lot of board members and they say, look, this is a great person.

That person can join the board has these and these qualifications.

So what happens at the end that the board comes together a little bit as a club?

So there is in the board.

And by the way, there's a lot of research which also says it's quite important that the board members get along very well so that there is a there's a good climate on the board table.

It's a group of people who share a lot of responsibility.

What I have seen over the time is that because of these things and also because many times there can be a lot of pressure on the board taking decisions in particular the moment of crisis.

There's an additional communication challenge vis a vis the public vis a vis the employee force.

So when you face these challenges, it brings you obviously together.

It's like a like a family in the forest facing a challenge to fight.

You come even closer together and you you you you tend in the context of the of the board.

You tend to become a little bit introverted.

And that's a real problem.

Because you start.

Again, it's skilled incompetence, it's counter productive to what you're actually trying to achieve.

You become further removed from the rest of the organization.

You start inviting people to make presentations, then you close the doors again, you stay amongst yourself.

And I think you're going to be hostage to a lot of blind spots, to a lot of bias, to what's a lot of pattern recognition, which nothing is always the same.

And you start becoming a little bit too overconfident the way you can take decisions.

And my approach has been and that's a problem.

I do think that every board what I've just described suffers to a certain degree from that.

That that that pathology.

And that makes it sometimes very difficult, because when you think about it, the free energy governance framework is all about how the boards opens, how the board

communicates, how the board connects and picks up the intelligence, which is at the bottom.

And now we come to very concrete measures of what you can do in order to actually change this.

And they are.

And I have to say, to answer your question.

I have been practicing free energy governance as a CEO, making that the way I run the company, and the way the flow of information is generated, the way decision power is

distributed, that the company is really empowered to make judgment calls and execute them, and that not the top becomes a bottleneck.

So I'm pretty good at that.

But I look at my board in my own company, which is a pretty strong board with very strong people and strong backgrounds, very serious business people.

I find it very difficult, for example, to say, hey, on the website, why don't you put next to your photo, a sentence which explains what's your contribution to this company?

Why are you on the board?

I think that's a question everybody should answer.

And I think it makes all of a sudden the board member much more accessible to the rest of the organization.

Because if somebody says to me, like, they're responsible for China, and I'm involved in China, then there is a guy or woman I should be contacting and maybe share some ideas.

So I think that's a way of the board opening up, I think a board member should have on their website, stating in one sentence why they are on that board and what their contribution is to the company, from which angle they're coming, that opens up.

Second, which is a great way and I've been practicing this quite a bit, is creating deep dives, where you take people very junior people on a specific topic where you believe these junior people, middle layer people, executive leadership people, together with selected board members, not the whole board, create a deep dive around the topic, no presentations, and just deep dive into a topic sharing, actually what experiences they are,

to advance a topic.

And that usually is an incredible experience.

By the end of the of the meeting, you don't know who's a board member who's a junior guy, because you don't come with this like come in here, make me a PowerPoint presentation, I'm listening to you.

And then I will judge and come with all my experience, you have to kill all of this.

The other element which I really like, and I'm looking much deeper into it, and there are a number of big companies who have been working on it.

And doing it is creating shadow boards.

So now what you're doing is you're looking at the closer to the front lines of really high potential people, talent, who form a board, which is holding a board meeting at the very same time, the main board is holding its board meeting.

They have more or less the same documentation, the same agenda points.

And they take decisions as if they were the board.

They define agenda items for the next board meeting.

And all of a sudden, you're creating a group of people at the closer to the front line, who have to delve into the topics, they are must be obviously seen enough that they can be entrusted and that they are capable of understanding all the issues and assuming that role in a way of not just looking at their domain where they are acting, maybe, but looking at the whole organization, because that's a challenge for the board, too.

And so you have to really understand how to relate and how to respect a lot of interacting parts of a company.

And then you compare afterwards, the shadow board, what they have discussed, how they have decided.

That's a tremendous input of frontline information of intelligence feeding into the main board and possibly determining future agenda items.

Oh, man, there's a lot of juicy action oriented things I would love to spend the next four hours going into.

Unfortunately, we're at the top of the hour.

And so hopefully we can have you back and we can go deeper into some of these, especially the practice oriented recommendations.

We'd love to explore that more.

But before we wrap up, just want to be respectful of each other's time.

Curious if anyone has any final closing thoughts, comments, reflections, questions before we wrap up.

I appreciate Tyler and Blue that you're leading this series.

We're going to continue the regular more section oriented videos.

Keep a space open for others to come in and range freely.

And Bijan, thanks again for joining.

You're welcome back anytime.

Well, thank you.

Yeah, thank you for inviting me.

I'm very honored that you took the book and you're dedicating the time to it.

I do really believe not because I wrote the book.

Obviously, it's a very theoretical contribution, a more practical orientation contribution should follow.

But I do believe, and I guess that's why also Karl Fristen decided to write the foreword and also Connie Helfert from Dartmouth wrote the foreword, is because I do think this is a beginning of changing things.

And as I think Daniel said it at the beginning, or I think it was Blue saying, this is something the Active Inference Institute should be looking at and being inspired by how you design governance.

Thanks again.

Till next time.

Thank you.

Bye bye.

So thanks, John.

Bye.

Thank you.

Thank you very much.

Thank you.